

Foreign Direct Investment (FDI)

Foreign direct investment (FDI) is an investment made by a firm or individual in one country into business interests located in another country. FDI is a crucial driver of globalization, facilitating the flow of capital, technology, and expertise across borders.





Forms of FDI

1

Establishing New Operations

Creating a new subsidiary or branch in a foreign country.

2

Acquiring Existing Businesses

Purchasing a controlling interest in a company already operating in the foreign market.

3

Joint Ventures

Forming a partnership with a local company to share resources and expertise.

Benefits of FDI

Economic Impact

FDI stimulates economic growth, creates jobs, and boosts exports.

Technology & Innovation

It facilitates the transfer of new technologies, skills, and knowledge.

Global Integration

FDI promotes integration into global markets and enhances competitiveness.

FDI in India: Data Analysis Workflow

1

Data Acquisition

Obtain FDI data from Unified Mentor.

2

Data Cleaning

Clean and prepare the data using Python libraries like Pandas and NumPy.

3

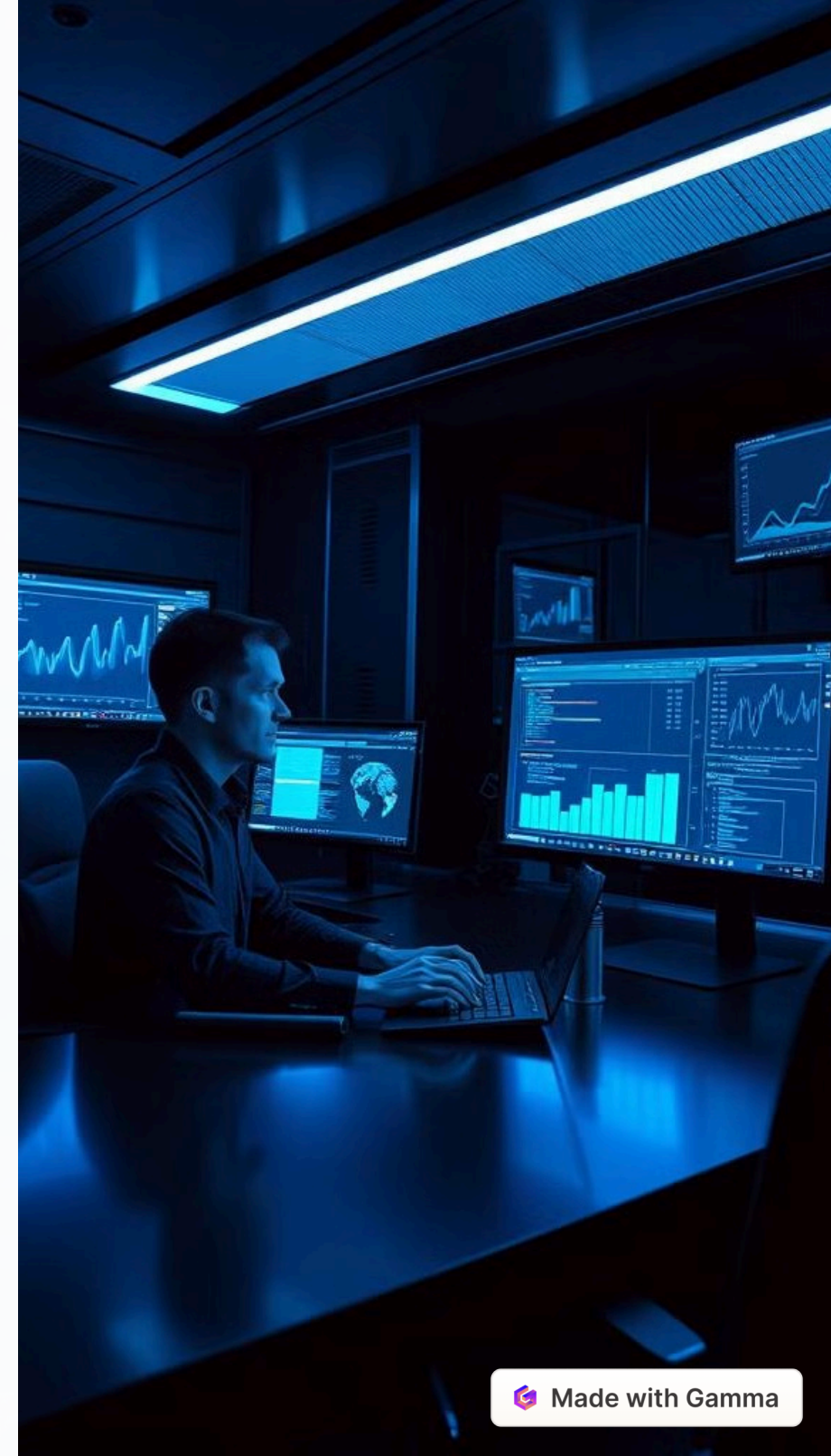
Data Visualization

Create insightful visualizations using Power BI to understand trends and patterns.

4

Data Insights

Generate actionable insights from the visualizations to inform strategic decisions.



FDI in India: Key Insights



1 Service Sector Dominance

The service sector has attracted the largest share of FDI in India over the past 17 years, around 18%.

2 Impact of Global Events

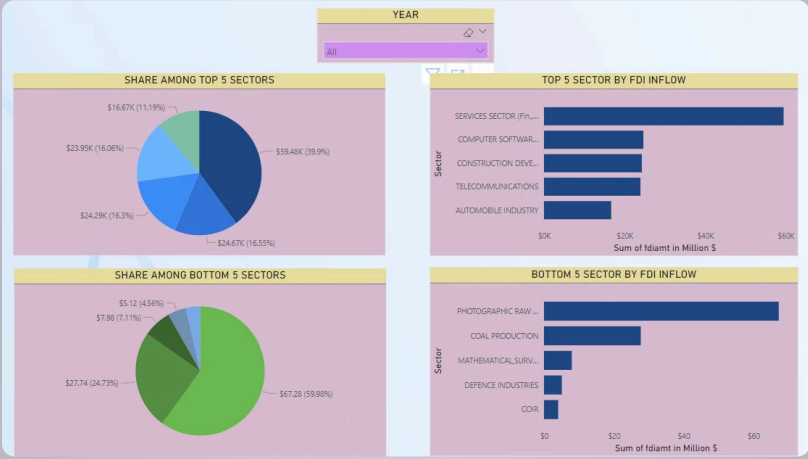
FDI in India was impacted by events like the 2008 financial crisis and domestic economic factors.

3 Sectoral Disparities

Significant disparities exist in FDI inflows across different sectors, with some sectors receiving minimal investment.

Top Sectors Attracting FDI

Sector	Share of Total FDI
Services Sector	18%
Computer Software and Hardware	7%
Telecommunications	7%
Construction Development	6%
Automobiles	5%



Factors Influencing Sectoral FDI

Government Policies

Investment-friendly policies, tax incentives, and regulatory frameworks play a crucial role.

Market Size & Growth

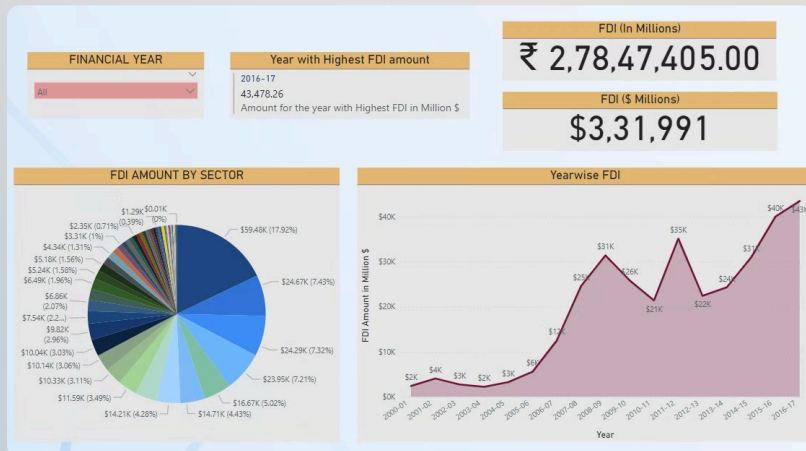
A large and growing domestic market attracts FDI, particularly in consumer-driven sectors.

Infrastructure Availability

Robust infrastructure, including transportation, logistics, and power, is essential for attracting FDI.

Skilled Workforce

Availability of a skilled and affordable workforce is a key factor for investors.



Challenges and Opportunities

1

Bureaucracy and Regulations

Streamlining bureaucratic processes and ensuring regulatory clarity can enhance FDI inflows.

2

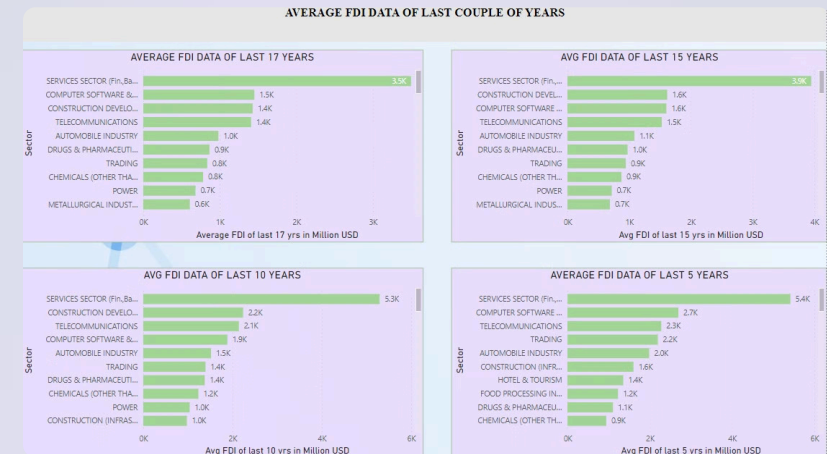
Infrastructure Gaps

Addressing infrastructure bottlenecks is crucial to attract FDI in sectors like manufacturing and logistics.

3

Skill Development

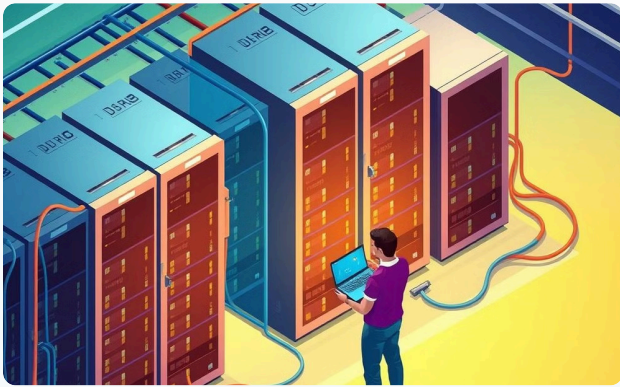
Investing in skill development programs can bridge the gap between industry needs and workforce skills.



Sectors with Zero FDI

SECTOR WITH ZERO FDI AND THEIR CORRESPONDING YEARS	
Sector	YearsWithZeroFDI
EARTH-MOVING MACHINERY	2000-01
HOSPITAL & DIAGNOSTIC CENTRES	2000-01
AIR TRANSPORT (INCLUDING AIR FREIGHT)	2000-01, 2001-02
FERTILIZERS	2000-01, 2001-02
NON-CONVENTIONAL ENERGY	2000-01, 2001-02
RAILWAY RELATED COMPONENTS	2000-01, 2001-02
EDUCATION	2000-01, 2001-02, 2002-03
VEGETABLE OILS AND VANASPATHI	2000-01, 2001-02, 2002-03
PRIME MOVER (OTHER THAN ELECTRICAL GENERATORS)	2000-01, 2001-02, 2002-03, 2003-04
SOAPS, COSMETICS & TOILET PREPARATIONS	2000-01, 2001-02, 2002-03, 2003-04
CONSTRUCTION (INFRASTRUCTURE) ACTIVITIES	2000-01, 2001-02, 2002-03, 2003-04, 2004-05
RETAIL TRADING	2000-01, 2001-02, 2002-03, 2003-04, 2004-05, 2005-06, 2006-07
MATHEMATICAL,SURVEYING AND DRAWING INSTRUMENTS	2000-01, 2001-02, 2002-03, 2003-04, 2004-05, 2005-06, 2006-07, 2008-09, 2009-10, 2010-11, 2011-12, 2013-14, 2014-15, 2015-16, 2016-17
DEFENCE INDUSTRIES	2000-01, 2001-02, 2002-03, 2003-04, 2005-06, 2006-07, 2007-08, 2008-09, 2009-10, 2010-11, 2016-17
COIR	2000-01, 2001-02, 2002-03, 2003-04, 2008-09, 2015-16, 2016-17
COAL PRODUCTION	2000-01, 2001-02, 2002-03, 2004-05, 2009-10, 2010-11, 2011-12, 2012-13, 2014-15, 2015-16, 2016-17
BOILERS AND STEAM GENERATING PLANTS	2000-01, 2001-02, 2002-03, 2005-06, 2008-09
PRINTING OF BOOKS (INCLUDING LITHO PRINTING INDUSTRY)	2000-01, 2001-02, 2003-04
SUGAR	2000-01, 2001-02, 2003-04
PHOTOGRAPHIC RAW FILM AND PAPER	2000-01, 2001-02, 2005-06, 2009-10, 2011-12, 2012-13, 2013-14, 2015-16, 2016-17
GLUE AND GELATIN	2000-01, 2003-04, 2004-05, 2005-06, 2006-07, 2008-09, 2012-13
TIMBER PRODUCTS	2000-01, 2006-07
PORTS	2000-01, 2006-07, 2011-12, 2012-13, 2015-16, 2016-17
TEA AND COFFEE (PROCESSING & WAREHOUSING COFFEE & RUBBER)	2002-03
DYE-STUFFS	2002-03, 2005-06, 2006-07, 2012-13, 2013-14
AGRICULTURAL MACHINERY	2004-05
INDUSTRIAL INSTRUMENTS	2006-07
SCIENTIFIC INSTRUMENTS	2007-08, 2009-10

Thank You



Data-Driven Insights

Our analysis utilized a robust dataset, allowing for insightful conclusions about FDI in India.



Collaborative Expertise

Our team of analysts, data scientists, and economists collaborated to produce this comprehensive report.



Forward-Looking Strategies

Our findings provide valuable insights for strategic decision-making to attract and leverage FDI in India.